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(Company's Full Name)

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(Business Address: No. Street City/Town/ Province)

Atty. Ma. Theresa G. Dela Rosa

Contact Person

(02) 8830-7000

Company Telephone Number

1	2
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Month Day
Fiscal Year

3	1
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17 - Q

FORM TYPE

6	11
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Month Day
Annual Meeting

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Secondary License Type, If Applicable

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Dept. Requiring this Doc.

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Amended Articles Number/Section

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Total No. of Stockholders

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Domestic

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Foreign

Total amount of Borrowings

To be accomplished by SEC Personnel concerned

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File Number

LCU

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Document I.D.
Cashier

STAMPS

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SEC Number PW-686
Company TIN 000-263-340

PHILIPPINE BANK OF COMMUNICATIONS
(Company's Full Name)

PBCOM Tower, 6795 Ayala Ave. cor. V.A. Rufino St., Makati City
(Company's Address: No. Street City/Town/Province)

8-830-7000
(Company's Telephone Number)

December 31
(Fiscal Year Ending)
(Month & Day)

3rd Tuesday of June
Annual Meeting

SEC Form 17-Q
(Quarterly Report Pursuant to Section 17 of the Securities
Regulation Code and SRC Rule 17(2)(b) Thereunder)
(FORM TYPE)

N/A

Amendment Designation (If Applicable)

None
(Secondary License Type. If any)

Atty. Ma. Theresa G. Dela Rosa
(Company Representative)

(TIN) (I)

(Birth Date)

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Cashier

File Number

Central Receiving Unit

Document ID

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SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended September 30, 2025.

2. Commission identification number PW-686 3. BIR Tax Identification No. 000-263-340.

4. Exact name of issuer as specified in its charter

Philippine Bank of Communications

5. Province, country or other jurisdiction of incorporation or organization Philippines.

6. Industry Classification Code: C Use Only)

7. Address of issuer's principal office Postal Code

PBCOM Tower 6795 Ayala Ave., Cor. V.A. Rufino St., Makati City 1226

8. Issuer's telephone number, including area code

(632) 8-830-7000

9. Former name, former address and former fiscal year, if changed since last report

NA

10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class

Number of shares of common
stock outstanding and amount
of debt outstanding

PBCOM Common Shares 480,645,163 shares

11. Are any or all of the securities listed on a Stock Exchange?

Yes [X] No []

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

Philippine Stock Exchange Common Stock

12. Indicate by check mark whether the registrant:

- (a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

Yes [/] No []

- (b) has been subject to such filing requirements for the past ninety (90) days.

Yes [/] No []

PART I--FINANCIAL INFORMATION

Item 1. Financial Statements.

Please see attached

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations.

Please see attached

PART II--OTHER INFORMATION

The issuer may, at its option, report under this item any information not previously reported in a report on SEC Form 17-C. If disclosure of such information is made under this Part II, it need not be repeated in a report on Form 17-C, which would otherwise be required to be filed with respect to such information or in a subsequent report on Form 17-Q.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

PHILIPPINE BANK OF COMMUNICATIONS

By:



ALAN E. ATIENZA
Treasurer



GRETCHEN MARIE V. ARBOLEDA
Comptroller & Principal Accounting Officer

November 12, 2025

PHILIPPINE BANK OF COMMUNICATIONS AND SUBSIDIARY
UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF POSITION
AS AT SEPTEMBER 30, 2025

(With Comparative Audited Figures at December 31, 2024)

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
(Amounts in Thousands)		
ASSETS		
Cash and Other Cash Items	₱948,074	₱1,049,937
Due from Bangko Sentral ng Pilipinas (Note 7)	7,356,653	7,297,480
Due from Other Banks	536,250	430,103
Interbank Loans Receivable and Securities Purchased under Resale Agreements (Note 8)	5,979,793	404,202
Financial assets at Fair Value through Profit or Loss (Note 9)	459,117	—
Financial Assets at Fair Value through Other Comprehensive Income (Note 9)	30,465,404	11,252,961
Investment Securities at Amortized Cost (Notes 9)	30,962,321	28,920,662
Loans and Receivables (Notes 10)	99,639,686	101,320,536
Investments in an Associate (Note 1)	10,311	10,062
Property and Equipment (Note 11)	826,953	823,045
Investment Properties (Note 12)		
Condominium units for lease	1,521,845	1,556,722
Foreclosed properties	2,038,040	2,130,458
Office units for lease	1,398	1,637
Intangible Assets (Note 13)	527,268	515,298
Deferred Tax Assets - Net	523,739	486,222
Other Assets (Note 14)	516,594	696,677
TOTAL ASSETS	₱182,313,446	₱156,896,002
LIABILITIES AND EQUITY		
LIABILITIES		
Deposit Liabilities (Note 16)		
Demand	44,619,746	41,638,978
Savings	12,314,293	13,697,477
Time	74,839,312	55,247,882
LTNCD	—	—
	131,773,351	110,584,337
Bills Payable (Note 17)	17,381,849	16,386,516
Bonds Payable (Note 18)	7,661,790	7,623,300
Outstanding Acceptances	115,232	81,670
Manager's Checks	1,814,918	218,636
Accrued Interest, Taxes and Other Expenses	1,410,741	1,441,163
Income Tax Payable	105,718	136,700
Other Liabilities (Note 14)	1,417,146	1,190,639
TOTAL LIABILITIES	161,680,745	137,662,961
EQUITY ATTRIBUTABLE TO THE EQUITY HOLDERS OF THE PARENT COMPANY		
Common stock (Note 20)	12,016,129	12,016,129
Additional paid-in capital	2,262,246	2,262,246
Surplus reserves (Note 20)	598,282	458,140
Surplus	6,299,716	5,322,252
Unrealized losses on financial assets carried at fair value through other comprehensive income	(374,900)	(659,523)
Cumulative translation adjustment	(105,751)	(103,182)
Remeasurement losses on retirement liability	(63,021)	(63,021)
TOTAL EQUITY	20,632,701	19,233,041
TOTAL LIABILITIES AND EQUITY	₱182,313,446	₱156,896,002

See accompanying Notes to Unaudited Interim Condensed Financial Statements.

PHILIPPINE BANK OF COMMUNICATIONS AND SUBSIDIARY
INTERIM CONSOLIDATED STATEMENTS OF INCOME
(Unaudited)

	For the Nine Months (January to September)		For the Three Months (July to September)	
	2025	2024	2025	2024
(Amounts in Thousands)				
INTEREST INCOME				
Loans and receivables (Note 10)	₱5,808,712	₱5,441,439	₱1,933,122	₱1,884,625
Investment securities (Note 9)	1,963,056	1,555,248	749,941	533,810
Interbank loans receivable and securities purchased under resale agreements (Note 8)	80,644	50,648	45,965	20,987
Deposits with other banks and others	42,621	20,052	13,497	6,578
	7,895,033	7,067,387	2,742,525	2,446,000
INTEREST AND FINANCE CHARGES				
Deposit liabilities (Note 16)	2,535,338	2,493,821	901,304	928,162
Bills payable, borrowings and others (Note 17 and 18)	868,735	609,123	301,241	181,394
	3,404,073	3,102,944	1,202,545	1,109,556
NET INTEREST INCOME	4,490,960	3,964,443	1,539,980	1,336,444
Service charges, fees and commissions	369,898	369,946	139,045	140,172
Rent income	171,543	273,205	32,539	95,197
Foreign exchange gain - net	110,051	74,027	34,184	27,517
Profit from assets sold (Note 11 and 12)	76,440	27,431	46,052	14,756
Income from trust operations	33,370	30,053	11,648	10,287
Gain on asset exchange - net	11,581	28,854	839	(425)
Trading and securities gain - net (Note 9)	170,954	525,280	252,116	455,038
Miscellaneous (Note 21)	130,309	109,746	54,466	33,491
TOTAL OPERATING INCOME	5,565,106	5,402,985	2,110,869	2,112,477
Compensation and fringe benefits	1,109,509	1,032,389	372,721	350,880
Taxes and licenses	753,978	670,101	280,934	247,182
Depreciation and amortization	314,708	283,423	103,997	108,373
Insurance	186,054	174,991	63,439	58,272
Occupancy and other equipment - related costs	143,880	137,543	47,178	45,314
Security, clerical, messengerial and janitorial services	94,846	99,657	31,230	34,450
Provision for (recovery from) impairment losses	201,098	74,955	97,086	80,342
Entertainment, amusement and recreation	77,065	69,859	25,128	24,616
Management and professional fees	73,620	63,890	23,842	13,003
Communication	40,307	39,595	13,279	14,256
Miscellaneous (Note 21)	386,470	337,883	152,129	130,594
TOTAL OPERATING EXPENSES	3,381,535	2,984,286	1,210,963	1,107,282
INCOME BEFORE SHARE IN NET INCOME OF AN ASSOCIATE	2,183,571	2,418,699	899,906	1,005,195
Share in net income of an associate	249	474	63	134
INCOME BEFORE INCOME TAX	2,183,820	2,419,173	899,969	1,005,329
PROVISION FOR INCOME TAX (Note 22)	585,569	569,537	208,169	184,125
NET INCOME	₱1,598,251	₱1,849,636	₱691,800	₱821,204
Basic/ Diluted Earnings Per Share (Note 23)	₱3.33	₱3.85	₱ 1.44	₱1.71

See accompanying Notes to Unaudited Interim Condensed Financial Statements.

PHILIPPINE BANK OF COMMUNICATIONS AND SUBSIDIARY
INTERIM CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(Unaudited)

	For the Nine Months (January to September)		For the Three Months (July to September)	
	2025	2024	2025	2024
	(Amounts in Thousands)			
NET INCOME	₱1,598,251	₱1,849,636	₱691,800	₱821,204
OTHER COMPREHENSIVE INCOME (LOSS) FOR THE PERIOD, NET OF TAX				
Items that may be reclassified to profit or loss in subsequent periods:				
Net movement in cumulative translation adjustment	(2,569)	(4,842)	3,401	(16,239)
Unrealized gain (loss) on debt securities carried at fair value through other comprehensive income	288,426	3,881	200,544	331,914
	285,857	(961)	203,945	315,675
Items that may not be reclassified to profit or loss in subsequent periods:				
Unrealized loss on equity securities carried at fair value through other comprehensive income	(4,470)	24,825	2,222	15,008
Income tax relating to change in fair value on equity securities	667	(2,592)	(337)	(1,501)
	282,054	21,272	205,830	329,182
TOTAL COMPREHENSIVE INCOME	₱1,880,305	₱1,870,908	₱897,630	₱1,150,386

See accompanying Notes to Unaudited Interim Condensed Financial Statements.

PHILIPPINE BANK OF COMMUNICATIONS AND SUBSIDIARY
INTERIM CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
(Unaudited)

	Common Stock (Note 20)	Additional Paid-in Capital	Surplus reserves (Note 20)	Retained Earnings	Unrealized gain (loss) on Financial Assets at Fair Value Through Other Comprehensive Income	Cumulative Translation Adjustment	Remeasurement Gain (Loss) on Retirement assets	Total
				(Amounts in Thousands)				
Balance at January 1, 2025	₱12,016,129	₱2,262,246	₱458,140	₱5,322,252	(₱659,523)	(₱103,182)	(₱63,021)	₱19,233,041
Appropriation during the year (Note 20)	–	–	140,142	(140,142)	–	–	–	–
Declaration of Cash Dividends (Note 1 and 14)	–	–	–	(480,645)	–	–	–	(480,645)
Total comprehensive income (loss) for the period	–	–	–	1,598,251	284,623	(2,569)	–	1,880,305
Balance at September 30, 2025 (unaudited)	₱12,016,129	₱2,262,246	₱598,282	₱6,299,716	(₱374,900)	(₱105,751)	(₱63,021)	₱20,632,701
Balance at January 1, 2024	₱12,016,129	₱2,262,246	₱454,283	₱3,115,836	(₱38,155)	(₱107,424)	(₱47,164)	₱17,655,751
Appropriation during the year	–	–	–	–	–	–	–	–
Total comprehensive income (loss) for the period	–	–	–	1,849,636	26,114	(4,842)	–	1,870,908
Balance at September 30, 2024 (unaudited)	₱12,016,129	₱2,262,246	₱454,283	₱4,965,472	(₱12,041)	(₱112,266)	(₱47,164)	₱19,526,659

See accompanying Notes to Unaudited Interim Condensed Financial Statements.

PHILIPPINE BANK OF COMMUNICATIONS AND SUBSIDIARY
INTERIM CONSOLIDATED STATEMENTS OF CASH FLOWS
(Unaudited)

	For the Nine Months (January to September)	
	2025	2024
	(Amounts in Thousands)	
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	₱2,183,820	₱2,419,173
Adjustments to reconcile income before income tax to net cash generated from (used for) operations:		
Depreciation and amortization	314,708	283,423
Amortization of premium on investment securities	150,494	189,488
Gain on asset exchange - net	(11,581)	(28,854)
Trading gains on financial assets at FVTOCI (Note 9)	(201,177)	(355,234)
Profit from asset sold (Note 11 and 12)	(76,440)	(27,431)
Accretion of interest on unquoted debt securities (Note 10)	–	(15,715)
Amortization of interest on lease liability	11,191	9,900
Provision for (recovery from) impairment losses	201,098	74,955
Unrealized gain on financial assets at FVTPL	(264)	916
Share in net income of an associate	(249)	(474)
Changes in operating assets and liabilities		
Decrease (increase) in the amounts of:		
Financial assets at FVTPL	(458,853)	(916)
Loans and receivable	1,381,588	(1,716,036)
Other assets	208,370	7,453
Increase (decrease) in the amounts of:		
Deposit liabilities	21,189,014	3,863,321
Manager's checks	1,596,282	(407,337)
Accrued interest, taxes and other expenses	(30,422)	60,325
Other liabilities	(267,965)	77,932
Net cash provided by (used in) operations	26,189,614	4,434,889
Income taxes paid	(653,401)	(571,651)
Net cash provided by (used in) operating activities	₱25,536,213	₱3,863,238
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisition of:		
Financial assets at FVOCI	(₱183,295,039)	(₱158,437,495)
Investment securities at amortized cost	(2,901,320)	(5,615,669)
Property and equipment	(69,961)	(46,590)
Software cost	(28,146)	(10,787)
Proceeds from disposal of:		
Financial assets at FVOCI	164,491,938	148,002,764
Property and equipment	15,701	10,658
Investment properties	149,170	86,826
Proceeds from maturity of Investment securities	790,961	5,456,071
Net cash used in investing activities	(₱20,846,696)	(₱10,554,222)

(Forward)

PHILIPPINE BANK OF COMMUNICATIONS AND SUBSIDIARY
INTERIM CONSOLIDATED STATEMENTS OF CASH FLOWS
(Unaudited)

	For the Nine Months (January to September)	
	2025	2024
	(Amounts in Thousands)	
CASH FLOWS FROM FINANCING ACTIVITIES		
Availments of:		
Bills payable	₱340,284,311	₱225,699,687
Outstanding acceptance	1,606,180	1,274,774
Marginal deposits	86,969	32,636
Settlements of:		
Bills payable	(339,288,978)	(220,685,074)
Outstanding acceptance	(1,572,618)	(903,996)
Marginal deposits	(74,677)	(39,552)
Lease Liability	(89,087)	(90,327)
Net cash provided by (used in) financing activities	₱952,100	₱5,288,148
EFFECTS OF FOREIGN CURRENCY TRANSLATION ADJUSTMENTS	(2,569)	(4,842)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	5,639,048	(1,407,678)
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE PERIOD		
Cash and Other Cash Items	1,049,937	1,562,747
Due from Bangko Sentral ng Pilipinas	7,297,480	12,204,980
Due from Other Banks	430,103	485,530
Interbank Loans Receivable and SPURA	404,202	492,353
	9,181,722	14,745,610
CASH AND CASH EQUIVALENTS AT ENDING OF THE PERIOD		
Cash and Other Cash Items	948,074	1,016,441
Due from Bangko Sentral ng Pilipinas	7,356,653	11,264,796
Due from Other Banks	536,250	968,177
Interbank Loans Receivable and SPURA	5,979,793	88,518
	₱14,820,770	₱13,337,932

OPERATIONAL CASH FLOWS FROM INTEREST

	For the Nine Months (January to September)	
	2025	2024
Interest paid	₱3,460,359	₱3,168,940
Interest received	7,931,190	7,057,718

See accompanying Notes to Unaudited Interim Condensed Financial Statements.

PHILIPPINE BANK OF COMMUNICATIONS AND SUBSIDIARY

NOTES TO UNAUDITED INTERIM CONDENSED FINANCIAL STATEMENTS

1. Corporate Information

Philippine Bank of Communications (the Parent Company) is a publicly listed domestic universal bank organized in the Philippines, primarily to engage in commercial banking services such as deposit products, loans and trade finance, domestic and foreign fund transfers, treasury, foreign exchange, and trust services. The Company's principal place of business is at the PBCOM Tower, 6795 Ayala Avenue, corner V. A. Rufino Street, Makati City.

As of September 30, 2025, the Parent Company had a network of 91 regular branches, 4 branch-lite units, and 167 ATMs (92 onsite and 75 offsite).

The Company's original Certificate of Incorporation was issued by the Securities and Exchange Commission (SEC) on August 23, 1939. On June 21, 1988, the Company's Board of Directors (BOD) approved the amendment of Article IV of its Amended Articles of Incorporation to extend the corporate life of the Company for another 50 years or up to August 23, 2039. The Amended Articles of Incorporation was approved by the SEC on November 23, 1988.

The Parent Company acquired a license to operate as an expanded commercial bank from the Bangko Sentral ng Pilipinas (BSP) on December 24, 1993. On March 31, 2000, the BSP's Monetary Board approved the amendment of the Parent Company's license to regular commercial banking.

The Monetary Board, in its Resolution No. 96 dated January 20, 2022, approved the grant of a universal banking license to Company, subject to compliance with certain regulatory requirements, including the amendment of the Parent Company's charter documents. On March 15, 2022, the Parent Company held a special stockholders' meeting to approve the changes to the Parent Company's Articles of Incorporation to reflect the upgrade of its banking license.

Subsequently, the Parent Company secured the approval of the *Securities and Exchange Commission* for the amendment of its Articles of Incorporation, reflecting the change of its primary license to universal banking. The official Certificate of Filing of Amended Articles of Incorporation was issued on August 17, 2022.

On November 10, 2022, PBCOM secured its Certificate of Authority to operate as a universal bank from the Bangko Sentral ng Pilipinas. PBCOM started its operations as a Universal Bank last December 1, 2022. The Bank capitalized the cost of its universal bank license amounting to ₱25.00 million as intangible asset (Note 13).

The Parent Company's subsidiary and associate (collectively referred to as the Group) are engaged in the following businesses:

Entity	Effective Percentage of Ownership		Principal Place of Business and Country of Incorporation	Line of Business
	2025	2024		
Subsidiary				
PBCom Insurance Services Agency, Inc. (PISAI)	–	–	Philippines	Insurance Agent
Associate				
PBCom Finance Corporation (PBCom Finance)	40.00%	40.00%	Philippines	Financing Company

Retirement of Business Operation of PISAI and Derecognition of Investment in Subsidiary

On January 11, 2021, the BOD of the Parent Company approved the dissolution and retirement of business of PISAI which had been inactive since the termination of its general agency agreement with Pru Life UK in September 2017. Subsequently, on March 4, 2021, PISAI's Board of Directors resolved to shorten the company's corporate term to June 30, 2021.

Considering several requirements for the termination of business that had to be complied with, the effectivity of the PISAI's corporate term was extended until April 2024. PISAI submitted its application for amending its Articles of Incorporation on November 15, 2023. The SEC approved this amendment on April 3, 2024, extending the corporate term until April 30, 2024.

On May 3, 2024, PISAI completed the settlement of its liabilities and liquidated its remaining assets for distribution to its stockholders. Following this, the Parent Company received the release of PISAI's remaining assets and derecognized its investment in PISAI. As a result, the Parent Company no longer consolidates PISAI's financial statements.

Bond Offering Transaction

On March 20, 2024, PBCOM's Board of Directors approved a ₱15.00 billion peso-denominated bond program to be issued in multiple tranches. The Bonds will have a minimum tenor of 1.5 years and with interest rates to be determined based on prevailing market rates. Proceeds from the bond issuance will be utilized for general corporate purposes, including refinancing of debt obligations, diversifying funding sources, and supporting loan growth. In the same meeting, the Board of directors likewise approved the 1st tranche issuance from the Bond program a target amount of at least ₱2.00 Billion with an oversubscription option.

The Series A bonds which have a tenor of one-and-a-half years and a fixed interest rate of 6.0796% per annum represent the first tranche under PBCOM's ₱15.00 Billion Peso Bond Program. The Bank successfully concluded its maiden peso bond offering ahead of schedule, closing more than a week early on October 17 due to robust demand. Initially set to run from October 14 to October 28, the offering attracted strong interest from both retail clients and a diverse mix of institutional investors resulting in an oversubscription of 3.85 times the initial amount.

PBCOM raised ₱7.7 Billion from its maiden issuance of Peso Fixed Rate Bonds listed on the Philippine Dealing & Exchange Corp. (PDEX) on November 5, 2024. PBCOM holds a "PRS Aa minus (corp)" issuer credit rating with a "stable" outlook from the Philippine Rating Services Corporation.

Cash Dividend

On June 25, 2025, the Bank declared a special cash dividend of ₱1.00 per share, the first since 1997, following continued financial improvement and profitability. The dividend is payable on July 31, 2025, to stockholders of record as of July 9, 2025.

2. Material Accounting Policy Information

Basis of Presentation

The accompanying unaudited interim condensed financial statements have been prepared following Philippine Accounting Standard (PAS) 34, *Interim Financial Reporting*. Accordingly, the unaudited interim condensed financial statements do not include all the information and disclosures required in the annual financial statements. They should be read in conjunction with the Group's annual audited financial statements as of the end of the year ended December 31, 2024 prepared under Philippine Financial Reporting Standards (PFRS). The financial statements are presented in Philippine peso

(PHP or ₱) and all values are rounded to the nearest thousand, unless otherwise stated.

New Standards, Interpretations and Amendments

The accounting policies adopted in the preparation of the unaudited interim condensed consolidation financial statements of the Group are consistent with those followed in the preparation of the Group's annual consolidated financial statements for the year ended December 31, 2024, except for the adoption of the following amendments to PFRS effective beginning January 1, 2025. The Group did not early adopt any other standard, interpretation, or amendment that has been issued but is not yet effective.

The adoption of the following pronouncements did not have any significant impact on the Group's financial position or performance:

Effective beginning on or after January 1, 2025

- Amendments to PAS 21, *Lack of exchangeability*

Effective beginning on or after January 1, 2026

- Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*
- Annual Improvements to PFRS Accounting Standards—Volume 11
 - Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*
 - Amendments to PFRS 7, *Gain or Loss on Derecognition*
 - Amendments to PFRS 9, *Lessee Derecognition of Lease Liabilities and Transaction Price*
 - Amendments to PFRS 10, *Determination of a 'De Facto Agent'*
 - Amendments to PAS 7, *Cost Method*

3. Summary of Accounting Judgements and Estimates

The significant judgments and assumptions made in the unaudited interim condensed consolidated financial statements of the Group are consistent with the most recent annual financial statements issued, unless otherwise indicated.

ECLs on loans and other receivables

The Group's ECL calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies.

Elements of the ECL models that are considered significant accounting judgments and estimates include:

- The segmentation of financial assets when their ECL is assessed on a collective basis;
- The definition of default;
- The Group's internal grading model, which impacts the PDs assigned to the exposures;
- The Group's criteria for assessing if there has been a SICR and so allowances for financial assets should be measured on a lifetime ECL basis and the qualitative assessment;
- Development of ECL models, including the various formulas and the choice of inputs;
- Determination of associations between macroeconomic scenarios and economic inputs, such as GDP growth rates, inflation rates, unemployment rates, import growth rates, export growth rates, and bank average lending rates, and the effect on PDs;
- Selection of forward-looking macroeconomic scenario variables; and
- Calculation of expected recoveries from defaulted accounts.

The Group revisited the macroeconomic scenarios and economic inputs to reflect the current and future business environment outlook in calculating the allowance for credit losses as of September 30,

2025. The carrying value of loans and receivables and allowance for credit losses on loans and receivables are disclosed in Notes 10 and 15, respectively.

Impairment of branch licenses

The Group determines whether branch licenses are impaired at least on an annual basis. Branch licenses are written down for impairment where the net present value of the forecasted future cash flows from the relevant CGU is insufficient to support its carrying value.

The recoverable amount of the CGU has been determined based on a VIU calculation using the CGU's cash flow projections from the five-year plan approved by the Board. Key assumptions in the VIU calculations are most sensitive to the following assumptions:

- Discount rate, which is based on the cost of equity by reference to comparable entities using the capital asset pricing model;
- Loan and deposit portfolios growth rates; and
- Growth rate to project cash flows beyond the budget period.

The Group revisited the assumptions used and reassessed the projections of future cash flows as of September 30, 2025, considering various economic scenarios and recovery outlook. The carrying values of branch licenses and details of the VIU calculations are disclosed in Note 13.

4. Fair Value Measurement

The Group uses three-level hierarchies as a valuation technique in determining and disclosing the fair value of financial instruments:

- Level 1 – quoted (unadjusted) market prices for identical assets or liabilities in an active market.
- Level 2 – valuation technique for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 – valuation technique for which the lowest level input significant to the fair value measurement is unobservable, i.e., not based on observable market data.

As of September 30, 2025, the Group used the following level of measurement:

	Carrying value	Fair Values			
		Total	Quoted Price in Active Market (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value					
Currency forwards *	P15	P–	P–	P15	P–
Financial assets at FVTOCI					
Government securities	458,562	458,562	458,562	–	–
Sovereign bonds	555	555	555	–	–
	459,132	459,117	459,117	15	–
Financial assets at FVTOCI					
Government securities	20,565,299	20,565,299	20,565,299		–
Private bonds	171,613	171,613	171,613		–
Sovereign bonds	9,507,254	9,507,254	9,507,254		
Equity securities	221,238	221,238	–	173,233	48,005
	30,924,536	30,924,521	30,703,283	173,248	48,005
Assets for which fair values are disclosed					
Investment securities at amortized cost:					
Government securities	30,079,615	29,447,070	29,447,070		
Sovereign bonds	882,706	895,946	895,946		

Loans and receivables:					
Loans and receivable:	96,815,113	95,821,347			95,821,347
Unquoted debt securities	-	-	-	-	-
	127,777,434	126,164,363	30,343,016	-	95,821,347
Investment properties:					
Condominium units for lease	1,521,845				8,064,781
Foreclosed properties	2,038,040				5,154,685
Office units for lease	1,398				29,123
	3,561,283	-	-	-	13,248,589
	P131,338,717	P126,164,363	P30,343,016	P-	P109,069,936
Liabilities for which fair values are disclosed					
Financial liabilities at amortized cost:					
Time deposits	74,839,312	74,851,851			74,851,851
Bills payable	17,381,849	17,380,924			17,380,924
Bonds payable	7,693,800	7,648,615			7,648,615
	P99,914,961	P99,881,390	P-	P-	P99,881,390

* Included in 'Other assets'

As of December 31, 2024, the Group used the following level of measurement:

	Carrying Value	Fair Value			
		Total	Quoted Prices in Active Market (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value					
Currency Forwards *	₱361	₱361	₱—	₱361	₱—
Financial assets at FVTOCI:					
Debt securities:					
Government securities	6,433,011	6,433,011	6,433,011	-	-
Private bonds	136,239	136,239	-	136,239	-
Sovereign bonds	4,458,003	4,458,003	4,458,003	-	-
Equity securities	225,708	225,708	-	179,192	46,516
	11,253,322	11,253,322	10,891,014	315,792	46,516
Assets for which fair values are disclosed					
Investment securities at amortized cost:					
Government securities	28,323,913	26,938,147	15,110,802	11,827,345	-
Sovereign bonds	596,749	581,662	581,662	-	-
Loans and receivables:					
Receivables from customers:					
Corporate loans	95,084,927	94,271,111	-	-	94,271,111
Auto loans	432,388	408,645	-	-	408,645
Home loans	2,786,602	2,249,371	-	-	2,249,371
Personal loans	50,560	54,430	-	-	54,430
Unquoted debt securities	59,308	59,277	-	-	59,277
	127,334,447	124,562,643	15,692,464	11,827,345	97,042,834
Investment properties:					
Condominium units for lease	1,556,722	8,082,521	-	-	8,082,521
Foreclosed properties	2,130,458	5,188,290	-	-	5,188,290
Office units for lease	1,637	180,634	-	-	180,634
	3,688,817	13,451,445	-	-	13,451,445
	₱142,276,586	₱149,267,410	₱26,583,478	₱12,143,137	₱110,540,795
Liabilities measured at fair value **					
Currency Forwards	₱3	₱3	₱-	₱3	₱-
Futures	68	68	-	68	-
	71	71	-	71	-
Liabilities for which fair value is disclosed					
Financial liabilities at amortized cost:					
Time deposits	55,247,882	55,233,711	-	-	55,233,711
Bills payable	16,386,516	16,386,142	-	-	16,386,142
Bonds payable	7,623,300	7,484,684			7,484,684
	₱79,257,698	₱79,104,537	₱-	₱-	₱79,104,537

* Included in 'Other assets'

** Included in 'Other liabilities'

Movements in the fair value measurement of 'Financial assets at FVTOCI' categorized within Level 3 pertain only to the changes in fair value of unquoted equity securities.

There are no transfers between Levels 1 and 2 and no transfers into and out of Level 3.

The Group evaluates and classifies financial instruments, whether it is quoted or not, in an active market. Quoted prices in an active market are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

The methods and assumptions used by the Group in estimating the fair value of its assets and liabilities are remained consistent with previous periods, ensuring reliable and accurate reporting under current market conditions. These are as follows:

Investment Securities

Debt Securities

Fair values are based on quoted market prices or consensus prices from Bloomberg if market prices are unavailable.

Equity Securities (Club Shares)

Valued using published prices from recognized sources like GG&A Club Shares and G&W Club Shares.

Unquoted Equity Securities

Fair values are estimated using the guideline publicly-traded company method, relying on comparable publicly-traded companies.

Loans and Receivables:

Fair values are estimated using the discounted cash flow methodology, applying the Group's current incremental lending rates.

Derivative Assets/Liabilities:

Valued based on prevailing interest differentials and spot exchange rates, considering the remaining term to maturity.

Financial Liabilities at Amortized Cost:

Fair values of deposit liabilities and bills payable are calculated using discounted cash flow methods with current incremental borrowing rates.

Investment Properties:

Fair values are determined using the market sales comparison or income capitalization approach, depending on the property type, with significant unobservable inputs like rental rates and capitalization rates.

Significant Unobservable Inputs:

The Group provides detailed disclosures on Level 3 fair value measurements, including the sensitivity of these valuations to changes in significant unobservable inputs.

Year	Fair Value at September 30	Valuation Technique(s)	Unobservable Input(s)	Range	Reasonably Possible Alternative Assumption	Sensitivity of the Fair Value to the Input
2025	₱48,005	Guideline publicly-traded company	Price to book ratio	0.68:1 -0.86:1	0.1 -0.1	₱62 (62)

Year	Fair Value at September 30	Valuation Technique(s) method	Unobservable Input(s) Discount for lack of marketability	Range	Reasonably Possible Alternative Assumption	Sensitivity of the Fair Value to the Input
				30%	+0.1 -0.1	48 (48)

The Parent Company estimates the fair value of the unquoted equity securities using the ‘benchmark multiples’ of comparable publicly-traded companies. The identification of comparable companies considers the similarities between the subject company being valued and the guideline companies in terms of industry, market, product line or service type, growth, etc. The Parent Company also determines an appropriate discount adjustment for the lack of marketability of these unquoted equity securities based on empirical evidence gathered from available public market research.

5. Financial Risk Management Objectives and Policies

Introduction

Risk is inherent in the Group’s activities but is managed through a continuing and proactive identification, measurement, and monitoring process, subject to risk limits and other controls. This risk management process is critical to the Group’s continuing profitability, and each individual within the Group is accountable for the risk exposures relating to their responsibilities.

Compared with December 31, 2024, there have been no changes in the financial risk exposures that may materially affect the unaudited interim condensed financial statements of the Group as of September 30, 2025. The Group is exposed to the following risks from its financial instruments:

- a. Credit risk
- b. Liquidity risk
- c. Market risk
 - i. Interest rate risk
 - ii. Foreign currency risk

Related discussions below should be read in conjunction with Note 5, *Financial Risk Management Objectives and Policies*, of the Group’s 2024 audited financial statements.

Risk management structure

The Group’s risk management environment is characterized by a well-defined risk organizational structure, flow of risk information, risk-based audit coverage, and an established compliance system.

BOD

The BOD of the Parent Company is responsible for establishing and maintaining a sound risk management system and is ultimately accountable for identifying and controlling risks; there are, however, separate independent bodies responsible for managing and monitoring risks.

- a. Risk Oversight Committee (ROC)
- b. Enterprise Risk Management Group (ERMG)
- c. Treasury segment
- d. Compliance Group
- e. Internal Audit Group (IAG)

Risk measurement and reporting systems

The Group’s risks are measured using a method which reflects both the expected loss likely to arise in

normal circumstances and unexpected losses, which are an estimate of the ultimate actual loss based on statistical models. The models make use of probabilities derived from historical experience, adjusted to reflect the economic environment.

The Group also performed worst case scenarios that would arise in the event that extreme events which are unlikely to occur, happen.

Monitoring and controlling risks are primarily performed based on limits established by the Group. These limits reflect both the business strategy and market environment of the Group, as well as the level of risk that the Group is willing to accept. In addition, the Group monitors and measures the overall risk-bearing capacity in relation to the aggregate risk exposure across all risk types and activities. In response to the pandemic, the Group implemented stricter approval policies particularly for consumer loans. All consumer loans need to go through a pre-clearance process from the Executive Committee Chair and minimum approval required is from the President & CEO.

Information gathered from all the businesses is evaluated and processed in order to analyze, identify and control risks early. All significant information is presented to the BOD, the ROC, and the head of each business division. The report includes credit exposure to groups and industries, Value-at-Risk (VaR), liquidity ratios and risk profile changes. Senior management assesses the appropriateness of the allowance for credit losses on a monthly basis for prudential and financial reporting. Risks and relevant risk measurement and reporting systems performed by the Group is summarized below:

Risk Category	Risk Definition	Risk measurement and reporting systems
Credit Risk (including Concentration of Assets and Liabilities and Off-Balance Sheet Items)	Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. The Group's credit risk arises from its lending and trading of and investments in securities and foreign exchange activities.	- Monitoring of ERMG of the following limits: - Credit risk concentrations - Counterparty Limits - Large exposures - Credit risk management process established by Corporate & Commercial Banking Group (CCBG), Consumer Finance Group and ERMG and approved by the BOD - Internal credit risk rating system (ICRRS) for corporate loan portfolio, which has two components - Borrower Risk Rating (BRR) System - Composite Risk Rating (CRR) - Minimum Risk Acceptance Criteria (MRAC) for consumer loan - Post approval loan portfolio quality and credit process review performed by Credit Policy and Review Division - Review of adequacy of loan loss reserves and impairment loss
Liquidity Risk and Funding Management	Liquidity risk is the risk that the Parent Company will be unable to meet its payment obligations when they fall due under normal and stressful conditions.	- Maximum Cumulative Outflow (MCO) metric - Liquidity Coverage Ratio - Net Stable Funding Ratio - Intraday Liquidity Monitoring - Internal Liquidity Ratios
Market Risk Management	Market risk is the risk of loss to future earnings, fair values or future cash flows that may result from changes in the price of a financial instrument. The value of a financial instrument may change as a result of changes in interest rates, foreign currency exchange rates, commodity prices, equity prices and other market changes. The Parent Company's market risk originates from the Parent Company's	- Value-at-Risk (VaR) - Stress testing - Backtesting

Risk Category	Risk Definition	Risk measurement and reporting systems
	holdings of foreign exchange instruments, debt securities, equity securities and derivatives.	
<u>Interest Rate Risk Management</u>	Interest rate risk arises from the possibility that changes in the interest rates will affect future cash flows or the fair value of financial instruments.	1. Interest rate sensitivity analysis 2. Asset-liability gap position
Foreign Currency Risk Management	Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. Foreign currency liabilities generally consist of foreign currency-deposits in the Parent Company's FCDU account made in the Philippines or which are generated from remittances to the Philippines by Filipino expatriates and overseas Filipino workers who retain for their own benefit or for the benefit of a third party, foreign currency deposit accounts with the Parent Company and foreign currency-denominated borrowings appearing in the regular books of the Parent Company.	1. VaR 2. Foreign Exchange Sensitivity Testing 3. Foreign Exchange Stress Testing

6. Segment Information

The following tables present income and profit and particular asset and liability information regarding the Group's operating segments as of September 30, 2025, and 2024:

	Consolidated 2025						
	Branch Banking Group	Corporate Banking Group	Treasury Segment	Consumer Finance Segment	Trust and Wealth Management Segment	Head office and Rental	Total
Segment results							
Revenue, net of interest expense							
Third party	(P2,662,909)	P5,565,549	P1,341,229	P223,005	P5,777	P18,309	P4,490,960
Intersegment	4,282,364	(3,705,856)	(1,128,291)	(126,184)	(6,207)	684,174	-
Net interest income	1,619,455	1,859,693	212,938	96,821	(430)	702,483	4,490,960
Rent income	3,869	-	-	-	-	167,674	171,543
Service charges, fees and commissions	75,381	259,244	5,270	10,792	-	19,211	369,898
Foreign Exchange gain - net	17,974	11,062	81,015	-	-	-	110,051
Income from Trust Operations	-	-	-	-	33,370	-	33,370
Trading and securities gain (loss) - net	-	-	170,954	-	-	-	170,954
Gain on asset exchange	-	-	-	-	-	11,581	11,581
Profit from asset sold	-	-	-	-	-	76,440	76,440
Miscellaneous	(6,862)	45,420	11,699	18,731	-	61,321	130,309
Total Operating Income	1,709,817	2,175,419	481,876	126,344	32,940	1,038,710	5,565,106
Compensation and fringe benefits	612,589	224,234	77,539	79,274	30,707	85,166	1,109,509
Taxes and licenses	297,823	287,122	138,023	8,143	2,663	20,204	753,978
Depreciation and amortization	122,252	74,464	7,113	61,614	2,840	46,425	314,708
Provision for (recovery from) impairment losses	-	203,703	4,284	(10,082)	-	3,193	201,098
Occupancy and Other equipment-related costs	97,250	23,324	1,980	4,314	1,314	15,698	143,880
Other operating expense	506,601	124,426	118,376	52,960	11,209	44,790	858,362
Total Operating Expense	1,636,515	937,273	347,315	196,223	48,733	215,476	3,381,535
Income before share in net income of an associate	73,302	1,238,146	134,561	(69,879)	(15,793)	823,234	2,183,571
Share in net income of an associate	-	-	-	-	-	249	249
Income before income tax	73,302	1,238,146	134,561	(69,879)	(15,793)	823,483	2,183,820
Provision for income Tax	10,467	197,643	284,296	-	-	93,163	585,569
Net Income (loss)	62,835	1,040,503	(149,735)	(69,879)	(15,793)	730,320	1,598,251
Segment assets							
Property and equipment	392,927	-	-	-	-	434,026	826,953
Investment properties	-	-	-	-	-	3,561,283	3,561,283
Other allocated assets	7,387,256	94,117,601	70,681,572	3,193,561	151,383	2,393,837	177,925,210
Total segment assets	7,780,183	94,117,601	70,681,572	3,193,561	151,383	6,389,146	182,313,446
Total segment liabilities	P130,520,345	P634,002	P29,195,154	P 10,134	P3	P1,321,107	P161,680,745

	Consolidated 2024						
	Branch Banking Group	Corporate Banking Group	Treasury Segment	Consumer Finance Segment	Trust and Wealth Management Segment	Head office and Rental	Total
Segment results							
Revenue, net of interest expense							
Third party	(P2,630,386)	P5,197,754	P1,171,721	P214,311	P4,717	P6,326	P3,964,443
Intersegment	4,126,143	(3,436,778)	(1,235,918)	(132,222)	(6,317)	685,092	-
Net interest income	1,495,757	1,760,976	(64,197)	82,089	(1,600)	691,418	3,964,443
Rent income	-	-	-	-	-	273,205	273,205
Service charges, fees and commissions	70,829	262,291	4,646	14,550	-	17,630	369,946
Foreign Exchange gain - net	22,865	1,729	49,433	-	-	-	74,027
Income from Trust Operations	-	-	-	-	30,053	-	30,053
Trading and securities gain (loss) - net	-	-	525,280	-	-	-	525,280
Loss on asset exchange	-	-	-	-	-	28,854	28,854
Profit from asset sold	-	-	-	-	-	27,431	27,431
Miscellaneous	4,419	44,874	824	19,507	-	40,122	109,746
Total Operating Income	1,593,870	2,069,870	515,986	116,146	28,453	1,078,660	5,402,985
Compensation and fringe benefits	565,470	219,429	66,439	70,617	31,006	79,428	1,032,389
Taxes and licenses	271,162	243,321	136,624	8,208	2,457	8,329	670,101
Depreciation and amortization	131,071	53,822	8,833	41,548	3,068	45,081	283,423
Provision for (recovery from) impairment losses	-	159,336	-	(83,463)	-	(918)	74,955
Occupancy and Other equipment-related costs	111,521	10,302	2,801	4,939	1,577	6,403	137,543
Other operating expense	500,736	84,744	104,571	56,409	10,239	29,176	785,875
Total Operating Expense	1,579,960	770,954	319,268	98,258	48,347	167,499	2,984,286
Income before share in net income of an associate	13,910	1,298,916	196,718	17,888	(19,894)	911,161	2,418,699
Share in net income of an associate	-	-	-	-	-	474	474
Income before income tax	13,910	1,298,916	196,718	17,888	(19,894)	911,635	2,419,173
Provision for income Tax	1,828	187,083	264,165	-	-	116,461	569,537
Net income	12,082	1,111,833	(67,447)	17,888	(19,894)	795,174	1,849,636
Segment assets							
Property and equipment	371,763	-	-	-	-	451,476	823,239
Investment properties	-	-	-	-	-	3,544,904	3,544,904
Unallocated assets	11,864,176	87,035,165	49,742,253	3,200,298	148,144	2,028,937	154,018,973
Total segment assets	12,235,939	87,035,165	49,742,253	3,200,298	148,144	6,025,317	158,387,116
Total segment liabilities	P121,494,343	P553,006	P15,218,071	P2,499	P-	P1,592,537	P138,860,456

7. Due from Bangko Sentral ng Pilipinas

This account consists of:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Demand deposit	P5,856,653	P7,297,480
Overnight deposit facility	1,500,000	-
	P7,356,653	P7,297,480

8. Interbank Loans Receivable and Securities Purchased under Resale Agreement (SPURA)

Interbank loans receivable of the Group amounted to P3.48 billion and P404.20 million as of September 30, 2025 and December 31, 2024, respectively, while outstanding SPURA balances amounted P2.5 billion and nil, respectively.

Interest income on Interbank loans receivable and SPURA as follows:

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
SPURA	₱48,940	₱37,124
Interbank	31,704	13,524
	₱80,644	₱50,648

Interbank loans receivable bears nominal annual interest rates ranging from 3.95% to 5.94% in September 30, 2025 and 4.88% to 6.53% in September 30, 2024, while SPURA bears nominal annual interest rate from 4.50% to 5.90% in September 30, 2025 and ranging from 5.75% to 7.00% in September 30, 2024.

9. Trading and Investment Securities

This account consists of:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Financial assets at FVTPL	₱459,117	₱-
Financial assets at FVOCI	30,465,404	11,252,961
Investment securities at amortized cost	30,962,321	28,920,662
	₱61,886,842	₱40,173,623

The Groups' Financial assets at FVTPL consist of the following:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Debt Securities		
Government	₱458,562	₱-
Sovereign bond	555	-
	₱459,117	₱-

The Groups' Financial assets at FVOCI consist of the following:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Debt Securities		
Government	₱20,565,299	₱6,433,011
Corporate	171,613	136,239
Sovereign bond	9,507,254	4,458,003
	30,244,166	11,027,253
Equity Securities		
Quoted	173,233	179,192
Unquoted	48,005	46,516
	221,238	225,708
	₱30,465,404	₱11,252,961

The Group's Investment securities at amortized cost consist of the following:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Government	₱30,087,310	₱28,336,923
Sovereign bond	883,259	596,749
Less: Allowance for ECL (Note 15)	(8,248)	(13,010)
	₱30,962,321	₱28,920,662

The interest income on investment securities follows:

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Investment securities at amortized cost	₱1,144,931	₱926,622
Financial assets at FVOCI	731,786	554,525
Financial assets at FVTPL	86,339	74,101
	₱1,963,056	₱1,555,248

The Group's Trading and securities gain - net follows:

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Financial assets at FVTPL	₱112,788	₱169,647
Financial assets at FVOCI	201,177	355,234
Derivatives	(143,011)	399
	₱170,954	₱525,280

The Group's peso-denominated investment securities earned annual interest rates ranging from 3.375% to 9.25% and from 2.38% to 9.25% in September 30, 2025 and 2024, respectively while dollar-denominated investment securities earned annual interest rates ranging from 1.38% to 10.63% in September 30, 2025 and 2024.

10. Loans and Receivable

This account consists of:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Receivable from customers		
Loans and receivable	₱88,300,982	₱90,955,689
Customer's liabilities on letters of credit and Trust receipts	9,337,992	8,427,862
Bills purchased	2,637,146	2,238,049
	100,276,120	101,621,600
Unquoted debt securities	-	59,337
Accrued interest receivable	1,197,765	1,244,052

Sales contract receivables	212,636	169,097
Accounts receivables	1,492,847	1,567,166
	2,903,248	3,039,652
	103,179,368	104,661,252
Less: Unearned and other deferred income	(50,870)	(61,000)
Allowance for ECL (Note 15)	(3,488,812)	(3,279,716)
	P99,639,686	P101,320,536

Unquoted Debt Securities

As of September 30, 2025 and December 31, 2024, unquoted debt securities of the Group consist of Metro Rail Transit (MRT) bonds with gross amount of nil and P59.34 million, respectively, and an allowance for ECL amounting to nil and P0.03 million, in 2025 and 2024, respectively.

Interest Income

Interest income on loans and receivables consist of:

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Receivable from customers	P5,797,885	P5,414,166
Unquoted debt securities	-	22,427
Others	10,827	4,846
	P5,808,712	P5,441,439

Of the total receivables from customers of the Group as of September 30, 2025 and December 31, 2024, 91.43% and 82.67%, respectively, are subject to periodic interest repricing. The remaining peso denominated receivables from customers earn annual fixed interest rates ranging from 2.00% to 44.36% in September 30, 2025 and 3.00% to 44.36% in December 31, 2024 while foreign currency-denominated receivables from customers earn annual fixed interest rates ranging from 5.73% to 9.82% in September 30, 2025 and 5.73% to 9.39% in December 31, 2024.

11. Property and Equipment

For the nine-month period ended September 30, 2025, the Group purchased assets with total cost of P69.96 million. For the same periods, the Group disposed property and equipment with net book value of P8.71 million recognizing gain on sale of P0.33 million included as part of "Profit from asset sold" account.

For the nine-month period ended September 30, 2024, the Group purchased assets with total cost of P46.59 million. For the same periods, the Group disposed property and equipment with net book value of P2.40 million recognizing gain on sale of P5.47 million included as part of "Profit from asset sold" account.

12. Investment Properties

For the nine-month period ended September 30, 2025, the Group foreclosed investment properties amounting to P87.79 million. For the same periods, the Group disposed investment properties with net book value of P61.09 million, recognizing gain on sale of P76.50 million included as part of "Profit from assets sold" account.

For the nine-month period ended September 30, 2024, the Group foreclosed investment properties amounting to ₱1.11 billion. For the same periods, the Group disposed investment properties with net book value of ₱36.24 million, recognizing gain on sale of ₱21.74 million included as part of “Profit from assets sold” account.

13. Intangible Assets

This account consists of:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Branch licenses	₱364,700	₱364,700
Bank license	25,000	25,000
Software cost	137,568	125,598
	₱527,268	₱515,298

As of September 30, 2025 and December 31, 2024, the individual branches were identified as the CGU for purposes of impairment testing on the branch licenses for CSB. For the impairment testing on the branch licenses arising from the acquisition of RBNI, the Parent Company’s branch banking group was identified as the CGU as the branch banking group would benefit from the synergies of the additional branches in obtaining fresh funds from depositors for deployment.

As of September 30, 2025 and December 31, 2024, the Parent Company’s impairment assessment indicates no impairment.

Key assumptions used in the VIU calculations

As of September 30, 2025 and December 31, 2024, the recoverable amounts of the CGUs have been determined based on VIU calculations that use cash flow projections based on financial budgets approved by management covering a 5-year period. The significant assumptions used in computing for the recoverable amount for PRBI and CSB branches as of September 30, 2025 and December 31, 2024, as follows:

Significant Assumptions	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Deposit growth rates	13.00%	13.00%
Discount rate	9.94%	10.69%
Terminal value growth rate	5.20%	5.20%

Deposit growth rates were based on experiences and strategies developed by the Parent Company. The discount rate used for the computation of the present value of the projected cash flows is the cost of equity and was determined by reference to comparable entities. The terminal value growth rate has been determined to reflect the long-term view on the CGU’s business.

Sensitivity to changes in assumptions

Management believes that no reasonably possible change in any of the above key assumptions would cause the carrying value of the CGU to exceed its recoverable amount.

14. Other Assets and Other Liabilities

Other Assets

This account consists of:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Financial		
Cash Margin	₱64,932	₱292,069
Refundable security deposit	38,489	36,324
RCOCI	1,396	1,390
	104,817	329,783
Non-financial		
Prepaid expenses	159,065	115,743
Advances to BIR	86,450	91,307
Documentary Stamp Taxes (DST)	83,307	56,645
Chattel mortgage	21,818	21,011
Stationery and supplies	20,457	16,230
Advance rentals	15,230	14,772
Tax credits	653	2,524
Receivable from BIR	-	2
Others	30,448	54,248
	417,428	372,482
	522,245	702,265
Less: Allowance for ECL and impairment losses (Note 15)	(5,651)	(5,588)
	₱516,594	₱696,677

Other Liabilities

This account consists of:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Financial		
Accounts payable	₱767,555	₱439,129
Refundable security deposits	78,988	118,090
Miscellaneous	17,957	34,189
	864,500	591,408
Non-financial		
Dividends Payable (Note 1)	-	-
Lease liability	210,316	215,585
Deferred credits	58,910	154,674
Due to the Treasury of the Philippines	77,932	57,150
Withholding taxes payable	95,577	71,202
Miscellaneous (Note 15)	109,911	100,620
	552,646	599,231
	₱1,417,146	₱1,190,639

On June 25, 2025, during its regular board meeting, the Board of Directors of PBCOM approved the declaration of a special cash dividend of ₱1.00 per share to all shareholders of record as of July 9, 2025, payable on July 31, 2025.

This declaration marks the Bank's first cash dividend since a stock dividend issued in September 1997, reflecting the significant improvement in the Bank's financial position over the past 27 years.

15. Allowance for Impairment, Credit and Other Losses

Movements in this account follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Balances at beginning of the period		
Loans and receivables	₱3,279,716	₱2,878,732
Investment securities at FVTOCI	10,059	9,791
Investment securities at amortized cost	13,010	12,802
Investment properties	51,316	53,395
Other assets	5,588	5,572
Commitment and guarantees	11,688	5,720
	3,371,377	2,966,012
Provision for credit and impairment losses	201,098	440,642
Accounts written-off, revaluation, and others	(2,435)	(35,279)
	198,663	405,363
Balances at ending of the period		
Loans and receivables	3,488,812	3,279,716
Investment securities at FVTOCI	8,694	10,059
Investment securities at amortized cost	8,248	13,010
Investment properties	46,947	51,316
Other assets	5,651	5,588
Commitment and Guarantees	11,688	11,688
	₱3,570,040	₱3,371,377

Upon adoption of PFRS 9, BSP requires appropriation of a portion of the Group's Surplus at an amount necessary to bring to at least 1% the allowance for credit losses on loans (Note 20). The Bank appropriated ₱140.14 million in 2025, to meet prudential requirements on 1% general loan loss provisioning.

16. Deposit Liabilities

Deposit liabilities and deposit substitute liabilities are subject to required reserves. On March 11, 2025, the BSP issued Circular No. 1211, which reduced the reserve requirement for universal and commercial banks from 7.00% to 5.00%, effective for the reserve week starting March 28, 2025. Earlier, on September 5, 2024, the BSP issued Circular No. 1201, reducing the reserve requirement for the same banking group from 9.50% to 7.00%, effective October 25, 2024. These successive reductions in the reserve requirement ratios are part of the BSP's ongoing efforts to enhance liquidity in the financial system and support credit activity in the broader economy.

On July 26, 2018, the Monetary Board of the BSP, through its Resolution No. 1220, approved the Group's issuance of LTNCDs up to ₱5.00 billion in one or more tranches within one year, with a minimum tenor of 5 years and 1 day and a maximum of 7 years. This issuance was intended specifically for long-term funding.

On October 8, 2018, the Group issued ₱2.90 billion worth of LTNCDs with a tenor of 5 years and 6 months. These LTNCDs, maturing on April 8, 2024, have a fixed interest rate of 5.625% per annum, payable quarterly in arrears on October 8, January 8, April 8, and July 8 of each year, starting from January 8, 2019. The LTNCDs are listed on the Philippine Dealing & Exchange Corp.'s trading platform for secondary market trading.

As of September 30, 2025, the Group's LTNCDs were fully settled on their maturity date.

Interest expense on deposit liabilities consists of:

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Demand	₱34,091	₱33,636
Savings	11,952	9,739
Time	2,489,295	2,403,738
LTNCD	-	46,708
	₱2,535,338	₱2,493,821

Peso-denominated deposit liabilities earn annual fixed interest rates ranging from 0.10% to 4.75% in September 30, 2025 and 2024, while foreign currency-denominated deposit liabilities earn annual fixed interest rates ranging from 0.10% to 3.75% in September 30, 2025 and 0.10% to 4.25% in September 30, 2024.

17. Bills Payable

This account consists of the Group's borrowings from:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Private firms and individual	₱710,307	₱5,316,716
Banks and other financial institution	16,671,542	11,069,800
	₱17,381,849	₱16,386,516

Interest expense on bills payable and other borrowings consists of:

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Borrowed funds	₱857,544	₱599,223
Lease liability	11,191	9,900
	₱868,735	₱609,123

Borrowings from private firms and individuals represent deposit substitutes with maturities of 4 to 98 and 4 to 175 days in September 30, 2025 and 2024, respectively. These borrowings bear annual interest rates ranging from 5.50% to 6.50% in September 30, 2025 and 4.50% to 6.75% in September 30, 2024.

18. Bonds Payable

On November 5, 2024, PBCOM issued ₱7.7 billion worth of Peso Fixed Rate Bonds (Series A Bonds) under its ₱15 billion Peso Bond Program approved by the Board of Directors on March 20, 2024. The Series A Bonds have a tenor of 1.5 years and bear a fixed interest rate of 6.0796% per annum, payable quarterly in arrears. The bonds are listed on the PDEX.

Details of the Bonds Payable as follows:

Issue Date	Maturity Date	Face Value	Coupon Rate	Carrying Value
November 5, 2024	May 5, 2026	₱7,693,800	6.0796%	₱7,661,790

As of September 30, 2025, the unamortized transaction costs of bonds payable amounted to ₱32.01 million while the amortization of transaction cost was included under “Interest expense on bonds payable” in the “Bills payable, borrowings and others” which totaled ₱389.30 million for the period.

19. Maturity Analysis of Assets and Liabilities

The table below shows an analysis of assets and liabilities analyzed according to when they are expected to be recovered or settled:

	Consolidated					
	September 30, 2025		Total	December 31, 2024		Total
	Due Within One Year	Due Beyond One Year		Due Within One Year	Due Beyond One Year	
Financial assets – at gross						
Cash and other cash items	₱948,074	₱-	₱948,074	₱1,049,937	₱-	₱1,049,937
Due from BSP	7,356,653	-	7,356,653	7,297,480	-	7,297,480
Due from other banks	536,250	-	536,250	430,103	-	430,103
Interbank loans receivable and SPURA (Note 8)	5,979,793	-	5,979,793	404,202	-	404,202
Financial assets at FVTPL	459,117	-	459,117	-	-	-
Financial assets at FVTOCI (Note 9)	-	30,465,404	30,465,404	231,301	11,021,660	11,252,961
Investment securities at amortized cost (Note 10)	-	30,970,569	30,970,569	766,784	28,166,888	28,933,672
Loans and receivables (Note 11):						
Receivables from Customers	49,764,286	50,511,834	100,276,120	54,600,871	47,020,728	101,621,599
Unquoted debt securities	-	-	-	59,337	-	59,337
Accrued interest receivable	878,175	319,590	1,197,765	233,739	1,010,313	1,244,052
Accounts receivable	1,492,847	-	1,492,847	1,567,167	-	1,567,167
Sales contracts receivable	5,109	207,527	212,636	4,341	164,756	169,097
Other assets						
Cash Margin	64,932	-	64,932	292,069	-	292,069
Refundable security deposits	6,708	31,781	38,489	26,062	10,262	36,324
RCOCI	3,871	-	3,871	1,390	-	1,390
	₱67,495,815	₱112,506,705	₱180,002,520	₱66,964,783	₱87,394,607	₱154,359,390
Non-financial assets - at gross						
Investments in subsidiary and an associate	₱-	₱10,311	₱10,311	₱-	₱10,062	₱10,062
Property and equipment	-	3,070,960	3,070,960	-	3,009,606	3,009,606
Investment properties						
Condominium units for Lease	-	2,580,394	2,580,394	-	2,580,394	2,580,394
Foreclosed properties	-	2,587,617	2,587,617	-	2,588,452	2,588,452
Office units for lease	-	39,390	39,390	-	39,390	39,390
Intangible assets	-	527,268	527,268	-	515,298	515,298
Deferred tax assets	-	523,739	523,739	-	486,222	486,222
Other assets	365,933	93,860	459,793	312,537	99,228	411,765
	365,933	9,433,539	9,799,472	312,537	9,328,652	9,641,189
	67,861,748	121,940,244	189,801,992	67,277,320	96,723,259	164,000,579

Less:

	Consolidated					
	September 30, 2025			December 31, 2024		
Unearned interest and discounts	(50,870)		(50,870)	(61,000)		(61,000)
Accumulated depreciation and amortization	(90,856)	(3,797,162)	(3,888,018)	(72,092)	(3,621,855)	(3,693,947)
Allowance for credit and impairment losses	(1,914,059)	(1,635,599)	(3,549,658)	(2,285,847)	(1,063,783)	(3,349,630)
Total	P65,805,963	P116,507,483	P182,313,446	P64,858,381	P92,037,621	P156,896,002
Financial liabilities						
Deposit liabilities:						
Demand	P44,619,746	P-	P44,619,746	P41,638,978	P-	P41,638,978
Savings	12,314,293	-	12,314,293	13,697,477	-	13,697,477
Time	73,539,224	1,300,088	74,839,312	53,850,990	1,396,892	55,247,882
Corporate bond	-	7,661,790	7,661,790	-	7,623,300	7,623,300
Bills payable	17,381,849	-	17,381,849	16,386,516	-	16,386,516
Outstanding acceptances	115,232	-	115,232	81,670	-	81,670
Manager's checks	1,814,918	-	1,814,918	218,636	-	218,636
Accrued interest payable	569,112	-	569,112	625,398	-	625,398
Accrued other expenses	684,026	-	684,026	650,445	-	650,445
Other liabilities						
Accounts payable	767,554	-	767,554	439,129	-	439,129
Refundable security deposits	45,934	33,055	78,989	75,613	42,477	118,090
Miscellaneous	17,957	-	17,957	34,189	-	34,189
	P151,869,845	P8,994,933	P160,864,778	P127,699,041	P9,062,669	P136,761,710
Non-financial liabilities						
Accrued taxes and licenses	157,603	-	157,603	122,463	-	122,463
Income tax payable	105,718	-	105,718	136,700	-	136,700
Other liabilities						
Deferred credits	27,945	30,965	58,910	122,529	32,145	154,674
Lease liability	89,908	120,408	210,316	93,551	122,034	215,585
Withholding taxes payable	95,577	-	95,577	71,202	-	71,202
Dividend payable	-	-	-	-	-	-
Allowance for ECL on off-balance sheet exposures	-	11,688	11,688	-	11,688	11,688
Due to the Treasurer of the Philippines	77,932	-	77,932	57,150	-	57,150
Miscellaneous	41,626	56,597	98,223	58,735	73,054	131,789
	596,309	219,658	815,967	662,330	238,921	901,251
	P152,466,154	P9,214,591	P161,680,745	P128,361,371	P9,301,590	P137,662,961

20. Equity

Common Stock

Details and movement of common stock follows (amounts in thousands, except for par value):

	Shares	Amount
Common – ₱25 par value		
Authorized	760,000	₱19,000,000
Issued and outstanding		
Balance at the beginning and end of the period	480,645	₱12,016,129

The Group's Surplus Reserve consists of:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Reserve under BSP Circular 1011 (Note 15)	₱490,445	₱350,303
Reserves for trust business	90,719	90,719
Reserves for self-insurance	17,118	17,118
	₱598,282	₱458,140

Regulatory Reporting for Capital Management

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
CET1 Capital/ Tier 1 Capital	₱18,683,469	₱17,732,004
Total Qualifying Capital	21,595,513	20,557,963
Total Risk-Weighted Asset	₱134,620,623	₱130,782,994
CET 1 Ratio/ Tier 1 Ratio	13.88	13.56
CAR	16.04	15.72

21. Miscellaneous Income and Expense

Miscellaneous Income

Details of this account are as follows:

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Penalties	₱57,387	₱32,377
Rental charges	46,652	45,230
Dividend income	-	1,382
Others (Note 11)	26,270	30,757
	₱130,309	₱109,746

Others include recovery on charged-off accounts and gain on sale from property and equipment.

Miscellaneous Expense

Details of this account are as follows:

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Information technology	₱101,126	₱90,949
Litigation and assets acquired - related expenses	58,728	25,078
Transaction dues	41,896	38,117
Brokerage fees	41,043	34,151
Travel	13,546	10,862
Fuel and lubricants	11,572	11,233
Freight	4,267	6,104
Stationery and supplies	3,725	3,487
Advertising	2,691	2,160
Fines, penalties and other charges	2,449	237
Others	105,427	115,505
	₱386,470	₱337,883

Others include account maintenance charges, contractual services, and Philippine Dealing Exchange Corp. transaction fees.

22. Income and Other Taxes

Details of this account are as follows:

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
Current		
Regular	₱328,308	₱316,898
Final	294,110	275,469
	622,418	592,367
Deferred	(36,849)	(22,830)
	₱585,569	₱569,537

23. Earnings Per Share

Earnings per share are calculated as follows:

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)
a) Net income attributable to equity shareholders of the Parent Company	₱1,598,251	₱1,849,636
b) Weighted average number of common shares for basic earnings	480,645	480,645
c) Basic and diluted earnings per share	₱3.33	₱3.85

There are no potential common shares with dilutive effect on the basic earnings per share.

24. Related Party Transactions

Details on significant related party transactions of the Group follows:

September 30, 2025 (Unaudited)			
Category	Volume	Outstanding Balance	Nature, Terms and Conditions
Significant investors:			
Deposit liabilities	(637,882)	6,987,629	Savings and time deposit accounts with annual interest rates ranging from 0.10% to 4.75%.
Lease liability	43,270		Branch and office space leased for five years ending in various years, with 5.00% annual escalation
Loans and receivables	117,357	585,298	Loans with annual interest rates from 7.00% to 9.00%
Affiliate:			
Deposit liabilities	9	8,909	Demand, savings and time deposit accounts with annual interest rate ranging from 0.10% to 4.75%.
Key management personnel:			
Deposit liabilities	9,830	61,476	Non-interest demand deposit account
Provident fund:			
Deposit liabilities	(9,281)	19,956	Savings and time deposit accounts with annual interest rates ranging from 0.10% to 4.75%.
Retirement fund:			
Deposit liabilities	(18,809)	27,953	Savings and time deposit accounts with annual interest rates ranging from 0.10% to 4.75%.
December 31, 2024			
Category	Volume	Outstanding Balance	Nature, Terms and Conditions
Significant investors:			
Deposit liabilities	(1,306,205)	7,625,512	Savings and time deposit accounts with annual interest rates ranging from 0.06% to 4.75%.
Lease liability	44,796		Branch and office space leased for five years ending in various

Loans and receivables	118,017	467,941	years, with 5.00% annual escalation Loans with annual interest rates from 7.00% to 9.00%
Affiliate:			
Deposit liabilities	(14,481)	8,900	Demand, savings and time deposit accounts with annual interest rate of 10%
Subsidiary:			
Deposit liabilities	(8,902)	-	Non-interest demand deposit account
Key management personnel:			
Deposit liabilities	(3,756)	51,646	Savings and time deposit accounts with annual interest rates ranging from 0.10% to 4.75%.
Provident fund:			
Deposit liabilities	10,392	29,237	Savings and time deposit accounts with annual interest rates ranging from 0.10% to 5.1%.
Retirement fund:			
Deposit liabilities	27,914	46,762	Savings and time deposit accounts with annual interest rates ranging from 0.10% to 5.1%.

	September 30, 2025 (Unaudited)	September 30, 2024 (Unaudited)	Nature, Terms and Conditions
Significant investors:			
Interest expense	235,584	114,936	Interest expense from savings and time deposit accounts with annual interest rates ranging from 0.10% to 4.75%.
Depreciation expense	6,267	19,164	Depreciation of leased branch and office space for five years ending in various years, with 5.00% annual escalation
Rent income	676		Five year lease of branches, subject to pretermination, with 5% annual escalation
Affiliate:			
Interest expense	119	1,112	Interest expense of demand, savings and time deposit accounts with annual interest rates ranging from 0.10% to 4.75%.
Rent income	676	154	Five year lease expiring in July 2028 with 5% annual escalation
Key management personnel:			
Interest expense	29	636	Interest expense from savings and time deposit accounts with annual interest rates ranging from 0.10% to 4.75%.
Provident fund:			
Interest expense	478	723	Interest expense from savings and time deposit accounts with annual interest rates ranging from 0.1% to 4.75%.
Trust fee	1,697	1,626	A certain percentage of the monthly ending market value of the fund depending on the agreement.
Retirement fund:			
Interest expense	561	853	Interest expense from savings and time deposit accounts with annual interest rates ranging from 0.1% to 4.75%.
Trust fee	2,085	2,039	A certain percentage of the monthly ending market value of the fund depending on the agreement.

25. Commitments and Contingent Liabilities

In the course of the operations of the Group, there are outstanding commitments, contingent liabilities, and bank guarantees that are not reflected in the financial statements. The Group does not anticipate losses that will materially affect its financial position and performance.

The following is a comparative summary of the Group's commitments and contingent liabilities at their equivalent peso amounts.

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Trust department accounts	₱13,812,656	₱14,369,413
Standby LC	1,207,012	861,690
Spot exchange:		
Bought	1,399,381	869,110
Sold	3,962,526	3,700,342
Interest Rate Future		
Bought	-	593,905
Sold	-	628,161

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Sight LC outstanding	1,081,207	494,130
Usance LC outstanding	396	69,777
Inward bills for collection	863,878	892,413
Outstanding shipping guarantees	816,759	1,262,668
Currency forwards:		
Bought	1,644	359
Sold	-	-
Outward bills for collection	-	60,661
Items held for safekeeping	24	23
Items held as collateral	7	7
Other contingents	28,986	14,864

26. Notes to Statement of Cash Flows

Summary of non-cash activities

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Noncash operating activities:		
Additions to investment properties from settlement of loans	₱87,792	₱7,325
Additions to chattel mortgage from settlement of loans	13,497	3,254
Noncash investing activities:		
Transfer to property and equipment and other assets	-	-
Transfer to other assets from property and equipment	(2,215)	(648)
Unrealized gain (loss) on financial assets at FVOCI	278,848	(138,896)
Additions to right-of-use assets	79,430	16,876
Additions to lease liability	(79,430)	(16,876)

Changes in liabilities arising from financing activities:

	January 1, 2025	Cash Flows	Non-Cash activities	September 30, 2025
Bills payable	₱16,386,516	₱995,333	₱-	₱17,381,849
Bonds payable	7,623,299	-	38,491	7,661,790
Outstanding acceptance	81,670	33,562	-	115,232
Marginal deposit	3,537	12,293	-	15,830
Lease liabilities	215,585	(89,087)	83,818	210,316

	January 1, 2024	Cash Flows	Non-Cash activities	September 30, 2024
Bills payable	₱9,686,755	₱5,014,613	₱-	₱14,701,368
Outstanding acceptance	105,410	370,778	-	476,188
Marginal deposit	9,803	(6,916)	-	2,887
Lease liabilities	189,236	(90,327)	119,047	217,956

27. Other Matters

- No other items affect assets, liabilities, equity, net income, or cash flows that are unusual because of their nature, size, or incidents.
- The Group declared a special cash dividend of ₱1.00 per share on June 25, 2025. The dividend is

payable on July 31, 2025, to stockholders of record as of July 9, 2025.

- There are no contingencies and any other events or transactions that are material for the current interim period.
- There are no material events subsequent to September 30, 2025.

SEC Form 17-Q

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

1. Management's Discussion & Analysis

The Group registered a net income of ₱1.6 Billion as of the third quarter of the year 2025. Net interest income grew by ₱526.5 Million or 13.28%, largely from the expansion of volume in loans and investments. Its impact to operating income, however, was reduced by lower net trading gains during the period causing a ₱354.3 Million decline, and ₱101.7 Million lower rental income. Higher provision for losses by ₱126.1 Million further offset the increase which resulted to 13.59% lower net income compared to the same period last year.

Interest income expanded by 11.71% or ₱827.6 Million due to higher asset growth in both loans and securities portfolio. To fund this growth, the Group issued corporate bonds payable at the latter of part of 2024, and deposits and REPO volumes were increased, which resulted to higher interest expense by ₱301.1 Million. Likewise, total operating expenses went up by 13.31% mainly attributable to higher provision for impairment losses, higher volume-driven costs - GRT, DST, PDIC insurance, and higher manpower costs.

Total Assets of the Group increased by ₱25.4 Billion (16.20%) from ₱156.9 Billion as of end of the year 2024 to ₱182.3 Billion at the end of third quarter of 2025. This is primarily due to increases in inventories of debt securities carried at FVOCI, HTC and FVTPL by ₱19.2 Billion, ₱2.0 Billion and ₱459.1 Million, respectively and increase in Interbank Loans Receivable and SPURA by ₱5.6 Billion, partially offset by lower outstanding loan volume by ₱1.7 Billion.

The Group's gross NPL ratio is at 4.62%, 1.96% points higher than the 2.66% ratio at the end of 2024. This is mainly due to the movements in some accounts that underwent problems in the collection of receivables, especially as a result of the recent closure of POGO activities in the country. However, these are deemed temporary setbacks as the accounts have alternative plans in place. Note that the Bank is mostly secured in these accounts. The Bank is also actively pursuing remedial management through restructuring, rescheduling and other collection activities to bring this back to healthier level.

PBCOM's liquidity position continued to remain stable as the Bank comfortably met all its financial obligations and loan commitments, and likewise has fully complied with the regulatory reserve requirements on continuing basis at an optimum funding mix during the course of the year.

Total Liabilities increased by ₱24.0 Billion, 17.45% higher than last year's end level of ₱137.7 Billion. This resulted mostly from ₱21.2 Billion increase in both time deposits and low-cost deposits. Total Capital is now at ₱20.6 Billion from ₱19.2 Billion as of end of December 2024. The earnings of the Bank mainly contributed to the 7.28% increase in capital during the period, offset by the impact of the declaration of dividend in June 2025 amounting to ₱480.6 Million.

The Bank's Risk Based Capital Adequacy Ratio of 16.04% under BASEL III reporting standards covering credit, market and operational risk as of report date is well above the 10% minimum requirement.

2. Discussion of various key indicators:

A. Key Financial Performance

Ratio	September 2025	September 2024	Remarks
Net Profit Margin (Net income divided by Gross income)	28.72%	34.23%	Decrease by 5.51 % pts mainly due to higher operating expenses mainly in provision for impairment losses, manpower costs, and higher volume-driven costs. Lower net trading gain during the period also contributed to the decline, offset by higher net interest margin.
Return on Average Asset (Net income divided by Average assets)	1.26%	1.61%	Decline in the ratio is mainly driven by to higher operating expenses and lower net trading gain this period. These were partially offset by improvement in net interest margin from lower cost of funds and higher volume of loans and investments
Return on Average Equity (Net income divided by Average equity)	10.69%	13.27%	Return on average equity decreased by 2.58 % pts from higher operating expense and lower net trading gains this period. These were partially offset by improvement in net interest margin.
Capital Adequacy Ratio (Basel 3) (Qualifying capital divided by the total of risk-weighted assets that include credit, market, and operational risk)	16.04%	17.07%	The capital ratio decreased by 1.03 % pts mainly due to higher total risk-weighted assets, offset by higher total qualifying capital.
Basic Earnings per share (Net income divided by average no. of common shares)	3.33	3.85	Decrease in basic earnings per share by PHP0.52 from lower net income during the current period

B. Financial Soundness

Ratio	September 2025	December 2024	Remarks
Liquidity Ratio (Liquid Assets to Total Deposits) <i>Liquid Assets include cash, due from banks, interbank loans, and trading and inv. Securities Total deposit refers to the total of the peso and foreign currency deposits.</i>	34.55%	18.54%	Ratio increased by 16.01 % pts mainly higher level in liquid assets (mainly higher Interbank Loans and higher financial assets at FVOCI & FVTPL, Due from BSP & other Banks), offset by net increase in total deposits
Debt Ratio (Total Liability to Total Assets) <i>Debt refers to the total liabilities, while assets refer to total Assets</i>	88.68%	87.74%	Increased by 94 bps as the increase in total liabilities (higher total deposits) exceeded the increase in total assets (mainly higher HTC, financial assets at FVOCI & FVTPL, Interbank Loans, Due from BSP & other Banks).
Asset to Equity Ratio (Total Asset to Total Equity)	8.84	8.16	Ratio is higher by 68 bps mainly as a result of increase in total assets in relation to the increase in equity
Interest Rate Coverage Ratio (Earnings before interest & taxes to Interest Expense)	164.15%	177.96%*	Bank's interest rate coverage decreased due to higher operating expenses and lower net trading gains this period.
Net Interest Margin Net interest income over Average Earning assets	3.85%	3.92%*	Ratio is slightly lower as decrease in average asset yields outweighed the decline in average COF rates.

* As of September 2024

3. Discussion and Analysis of Material Event/s and Uncertainties

- a. The Bank does not have any material off-balance sheet transactions, arrangements, obligations (including contingent obligations), or other relationships of the company with unconsolidated entities or other persons created during the reporting period.
- b. As of September 30, 2025, the unspent amount from the approved capital expenditures budget on projects involving technology enhancement and facilities improvement amounted to ₱257.8 Million.
- c. The Bank has taken prudent steps to mitigate the risk through a more careful credit process and tighter credit policies. More importantly, it continues its assessment of its portfolio by regularly doing the stress test exercise.
- d. There is no recorded significant quarterly income or losses that did not come from the Bank's regular operations.
- e. Interest income on the non-discounted loan is recognized based on the accrual method of accounting, while unearned discounts are amortized to income over the term of the loans. As such, no seasonal aspect has a material impact on the Bank's interest revenues. Non-interest revenues, on the other hand, are primarily dependent on market dynamics and economic trends rather than seasonal factors.

Statement of Condition: September 2025 vs. December 2024

	Increase (Decrease)	Percentage	Remarks
Cash and Other Cash Items	(101,863)	-9.70%	Decrease due to lower cash on hand, offset by higher cash in ATMs
Due from BSP	59,173	0.81%	Higher due to ODF, offset by the decline in statutory reserve requirement to 5% in Mar25
Due from Other Banks	106,147	24.68%	Higher funds mainly with foreign banks
Interbank Loans Receivable	5,575,591	1,379.41%	Higher mainly from higher interbank call loans with local banks and SPURA
Financial assets at Fair Value through Profit or Loss	459,117	100.00%	Purchase of investments in FVTPL and net unrealized gain on FVTPL purchased & sold awaiting settlement at period-end
Financial assets at Fair Value through Other Comprehensive Income	19,212,443	170.73%	Purchase of investments in FVOCI and mark-to-market movements
Investment securities at Amortized Cost	2,041,659	7.06%	Purchase of HTC investments
Loans and Receivables	(1,680,850)	-1.66%	Decrease in outstanding receivables mainly in commercial loans, offset by higher import & export bills
Investment in a subsidiary and associate	249	2.47%	Share in net income for the period
Property and Equipment	3,908	0.47%	Increase mainly due to computer-related purchases and leasehold improvements, offset by depreciation recognized for the period
Investment Properties	(127,534)	-3.46%	Decline due to depreciation recognized for the period and higher ROPA sale than ROPA foreclosures/ dacion en pago
Intangible Assets	11,970	2.32%	Increase due to software-related purchases made to date, offset by amortization recognized for the period
Deferred tax assets	37,517	7.72%	Higher DTA movement for the period.
Other Assets	(180,083)	-25.85%	Decrease mainly due to lower cash margin, offset by higher prepaid taxes, prepaid expense on PDIC insurance and DST on hand
Demand Deposits	2,980,768	7.16%	Higher time & demand deposits volume, offset by lower savings deposits volume
Savings Deposits	(1,383,184)	-10.10%	
Time Deposits	19,591,430	35.46%	
Bills Payable	995,333	6.07%	Increase in interbank bills payable, offset by lower REPO
Bonds Payable	38,490	0.50%	Amortization of transaction costs for corporate bond issued in Nov 2024
Outstanding Acceptances	33,562	41.09%	Increase due to higher bills exchange accepted by the Bank
Manager's Checks	1,596,282	730.11%	Higher un-negotiated MC's as of the period

Accrued Interest, Taxes and Other Expenses Payable	(30,422)	-2.11%	Decrease mainly due to lower other operating expense accrual, lower deposits and bills payable interest accrual
Income Tax payable	(30,982)	-22.66%	Lower income tax payable for the period
Other Liabilities	226,507	19.02%	Increase mainly due to higher accounts payable, offset by lower advance rentals and rental deposits
Retained Earnings	140,142	30.59%	Increase is from net income for the period partially offset by declaration of dividend amounting to ₱480.6M
Unrealized gain/(loss) on equity securities carried at fair value through other comprehensive income	977,464	18.37%	Improvement from lower net mark-to-market losses mainly from FCDU debt investments in FVOCI
Cumulative translation adjustment	(2,569)	2.49%	Lower downward CTA adjustment

Statement of Income and Expenses: January-September 2025 vs. January-September 2024

	Increase (Decrease)	Percentage	Remarks
Interest Income on investment securities	407,808	26.22%	Higher interest income due to higher average volume and yields from FVTPL, FVOCI & HTC
Interest Income on Loans and receivable	367,273	6.75%	Higher interest income mainly due to growth in average volume primarily from corporate loans, offset by lower yields
Interest Income on Interbank loans receivable and securities purchased under resale agreements	29,996	59.22%	Higher interest income due to higher average volume mainly from interbank loans, offset by lower yields
Interest Income on Deposit with other Banks and others	22,569	112.55%	Higher interest income due to higher volume mainly from ODF with BSP
Interest Expense on Deposit Liabilities	41,517	1.66%	Higher interest expense due to higher average volume mainly from TDs, offset by lower cost of funds
Interest Expense on Bills payable, borrowings and others	259,612	42.62%	Higher interest expense due to higher average volume mainly from corporate bond issuance, offset by lower cost of funds mainly from Repos
Trading and Securities Gain – net	(354,326)	-67.45%	Lower realized net trading gain, offset by lower unrealized mark-to-market loss in 2025
Rent Income	(101,662)	-37.21%	Lower due to the impact of lease terminations, offset by lease commencements from new tenants
Service Charges, Fees & Commissions	(48)	-0.01%	Lower primarily due to lower commitment and TFR fees, offset by higher loan processing & penalty fees and higher bank commissions on import bills & letter of credits
Foreign Exchange Gain (Loss) –Net	36,024	48.66%	Higher realized and unrealized foreign exchange gains
Gain/(Loss) on asset exchange	(17,273)	-59.86%	Lower net gain on ROPA foreclosure
Profit/(Loss) from Assets Sold	49,009	178.66%	Higher ROPA gain on sale in 2025
Income from Trust Operations	3,317	11.04%	Increase is mainly due to higher ADB of assets under management
Miscellaneous Income	20,563	18.74%	Higher due to higher penalty fees and higher GRT portion shouldered by the clients, offset by gain on sale of bank owned property and impact of gain on derecognition of investment in PISAI in 2024, lower dividend income and lower recovery on written-off accounts
Compensation and Fringe Benefits	77,120	7.47%	Higher manpower costs for the period due to higher ave. headcount and salary adjustments
Taxes and Licenses	83,877	12.52%	Increase mainly due to higher DST costs from deposits and higher GRT costs
Depreciation and Amortization	31,285	11.04%	Increase mainly due to higher ROPA depreciation, offset by fully amortized software cost and lower depreciation on bank premises
Occupancy and other equipment-related costs	6,337	4.61%	Increase mainly from higher repairs & maintenance and rent expense, partially offset by decline in electricity & water costs
Provision for (recovery from) impairment losses	126,143	168.29%	Higher loan provision requirements during the period
Miscellaneous	72,487	9.22%	Increase mainly due to higher filing fees, professional fees, brokerage & PDEX fees from higher volume of transactions, higher PDIC insurance from higher volume of deposits, higher cost on contractual services and higher representation & entertainment
Provision for income tax	16,032	2.81%	Increase mainly due to higher net taxable income and higher final taxes on interest income on peso government securities, offset by higher DTA recognized on loan allowance

PHILIPPINE BANK OF COMMUNICATIONS AND SUBSIDIARY

INTERIM AGING OF LOANS & SELECTED RECEIVABLES

(Unaudited)

PHILIPPINE BANK OF COMMUNICATIONS (Consolidated)

AGING OF LOANS & SELECTED RECEIVABLES

As of September 30, 2025

(In thousands)

TYPE OF LOAN/PARTICULARS	OUTSTANDING BALANCE	CURRENT	P A S T D U E F O R			
			90 DAYS OR LESS	91 TO 180 DAYS	181 DAYS - 1 YR.	MORE THAN 1 YR.
Loans and receivable	88,300,982	83,571,841	855,228	681,387	1,043,608	2,148,918
Bills purchased	2,637,146	2,468,072	16,983	3,656	-	148,435
Customer's liabilities on letters of credit and trust receipts	9,337,992	9,220,095	43,088	-	-	74,809
Total	100,276,120	95,260,008	915,299	685,043	1,043,608	2,372,162
Unquoted Debt Securities	-	-	-	-	-	-
Accrued Interest Receivable	1,197,765	1,167,844	2,866	3,872	12,781	10,402
Sales Contract Receivables	212,636	208,177	751	3,664	-	44
Accounts Receivable	1,492,847	1,406,874	7,728	26,243	19,709	32,293
	2,903,248	2,782,895	11,345	33,779	32,490	42,739
Total	103,179,368	98,042,903	926,644	718,822	1,076,098	2,414,901
Less: Unearned and other deferred income	(50,870)	(58,180)	416	63	1,529	5,302
Allowance for credit losses	(3,488,812)	(1,315,570)	(24,038)	(56,979)	(272,817)	(1,819,408)
NET Loans and Receivable	99,639,686	96,669,153	903,022	661,906	804,810	600,795